

Delinquent History of a Fictitious Auto Loan Owner: Customer #9367584

Introduction Customer #9367584 is a 29-year-old pharmacy technician living in Albuquerque, New Mexico. In May 2021, she financed a compact sedan through High Desert Auto Finance. The loan totaled \$19,700 with a six-year term and a 6.9% interest rate. This document details her payment performance, financial disruptions, delinquency history, and final resolution.

Strong Early Performance From May 2021 through August 2022, Customer #9367584 made every monthly payment of \$342 on time. Her credit score improved from 643 to 671. She maintained stable employment at a regional pharmacy chain and also worked occasional weekend shifts as a caregiver.

Rising Costs and Budget Pressure In September 2022, rising rent and utility costs significantly strained her budget. Her rent increased by nearly 18%, and higher food and gas prices further reduced her disposable income. She continued making payments but relied increasingly on credit cards, pushing her into growing debt.

First Missed Payment In December 2022, an unexpected dental procedure cost over \$1,100 out of pocket. She missed her December payment and contacted High Desert Auto Finance shortly after. The lender granted a one-month deferment, moving the payment to the end of the loan term.

Job Transition and Instability In March 2023, the customer switched employers to a hospital pharmacy offering higher pay, but the transition involved: - A three-week employment gap - Delayed onboarding paperwork - Temporary loss of caregiver income

As a result, she missed April and May 2023 payments, placing her account 60 days delinquent. She expressed willingness to catch up but struggled with multiple financial obligations.

Hardship Plan Attempt The lender offered a hardship program: - Three months of \$200 payments - Difference deferred to the end of the loan - Credit reporting marked as “modified – hardship plan”

She complied for June and July but began missing payments again in August due to reduced caregiver shifts and transportation issues.

Transportation Breakdown In September 2023, her sedan required a major repair—replacement of the timing belt and water pump—costing nearly \$1,500. She postponed the repair for several weeks due to cost, causing her to miss work shifts and further limiting income.

By October 2023, the account had reached 90+ days delinquent. Contact attempts were sporadically successful, but the customer reported she was overwhelmed by medical bills and increasing credit card balances.

Repossession After 120 days of non-payment, High Desert Auto Finance initiated repossession in November 2023. The vehicle was recovered later that month.

Auction and Deficiency The sedan sold for \$9,200 at auction. After fees, interest, and principal balance, the deficiency totaled \$4,980. High Desert issued statutory notices with available repayment options.

Settlement and Rebuilding In February 2024, Customer #9367584 secured a second job as a part-time pharmacy clerk. With increased income, she contacted the lender to negotiate a settlement: - \$2,100 paid over 10 months - Forgiveness of remaining deficiency upon completion

She completed the settlement in December 2024. Her credit file now lists the account as “Settled – Less Than Full Balance.”

Analysis and Lessons Learned Customer #9367584's delinquency was shaped by: - Rising living expenses - Job transition delays - Mounting medical and dental bills - Increasing reliance on credit cards - Transportation-related income loss

High Desert Auto Finance followed standard procedures, offering deferments, hardship modifications, and a post-repossession settlement aligned with her financial capacity.

Conclusion This case underscores how younger borrowers with rising living costs and variable income may struggle to maintain auto loan payments. Effective communication, flexible workout programs, and realistic settlement options can help bring challenging accounts to fair resolution.